

Valuation Workbook

Quickstart — how to use it in Excel

FILE MSFT_valuation.xlsx · 23 TABS · FCFF (DAMODARAN METHODOLOGY) · OPEN WITH CLAUDE-IN-EXCEL

The workbook is built on **Aswath Damodaran's own valuation template** — 17 of the 23 tabs are his calculation machinery. The agent adds six of its own (**DATA, INSTRUCTIONS, SCENARIOS, OPTIONALITY, CHANGELOG, EVOLUTION**) to source the inputs, document the build, and record provenance. Open it with Claude-in-Excel and follow the path below — then keep editing in the sheet.

THE PATH THROUGH IT

1	INSTRUCTIONS	Start here. The agent's build brief — the thesis, every assumption and its source, and the WACC derivation, in plain English.
2	DATA	The sourced inputs — five years of income statement, balance sheet and cash flow (FMP / yfinance), each field tagged with source and date.
3	Input sheet	The live dials. Change a growth rate, a margin or a WACC component, and every downstream tab recomputes.
4	Valuation output	The DCF result — year-by-year revenue, margins and terminal value rolling up to fair value.
5	SCENARIOS · OPTIONALITY	The range — bear / base / bull fair values, plus the Black-Scholes growth-option overlay.
6	Keep going	Ask Claude-in-Excel to re-run a tab, add a scenario or stress an assumption. CHANGELOG and EVOLUTION log system defaults vs. your final calls.

FULL TAB MAP

TAB	GROUP	WHAT IT HOLDS
Input sheet	Core	Live assumptions — growth, margins, WACC components
Valuation output	Core	The DCF result and fair value
DATA	Agent	5-year sourced financials with source + date
INSTRUCTIONS	Agent	The build brief — thesis, assumptions, WACC, sources
SCENARIOS	Agent	Bear / base / bull fair values
OPTIONALITY	Agent	Black-Scholes growth-option overlay
CHANGELOG	Agent	Build version history
EVOLUTION	Agent	System defaults vs. final user assumptions
Cost of capital	Damodaran	WACC build-up — beta, ERP, cost of debt
Synthetic rating	Damodaran	Interest coverage → credit rating → cost of debt
Option value	Damodaran	Real-option valuation engine
R&D converter	Damodaran	Capitalise R&D expense
Operating lease converter	Damodaran	Capitalise operating leases
Diagnostics	Damodaran	Growth vs. industry, return-on-capital checks
Stories to Numbers	Damodaran	Narrative → quantitative drivers
Valuation as picture	Damodaran	Summary visualisation
Country ERP	Damodaran	Equity risk premiums by country
Industry Averages (US / Global)	Damodaran	Peer benchmarks
Input Stat Distributions	Damodaran	Distributions for Monte Carlo / sensitivity
Failure Rate	Damodaran	Probability-of-failure adjustment
Trailing 12 month	Damodaran	Mid-year adjustment logic
Answer keys	Damodaran	Model toggles — book/market value, ERP source, etc.

BUILT ON THE DAMODARAN FCFF TEMPLATE • AGENT TABS: DATA • INSTRUCTIONS • SCENARIOS • OPTIONALITY • CHANGELOG • EVOLUTION • OPEN WITH CLAUDE-IN-EXCEL